International Financial Professional Certificate



Course Overview

Course Introduction



- administrative issues
  - syllabus
    - attendance
    - Quizzes or Assignments
    - Mid-term and Final Exam
    - Final semester grade
- course overview

The instructor



- My name is I-Ting Lu
- Email: itinglu@mail.tku.edu.tw
- Office: B925
- Office hours:
  Tuesday 10 am – 12 pm
- The best way to reach me is via email or leave messages in Msteams.

Quiz

- From the third week (10/1), students must use iclass to take a quiz in B602 every two weeks.
- There will be a quiz from the materials I taught last week, and each quiz will worth 100 points.
- You will be able to drop two lowest quiz grades.
- Till the week prior to the final exam, we will have 6 quizzes and only 4 highest quiz grades will be counted toward your semester grade.

Quiz (2)

- Financial Calculator is necessary for the class use.
- Please do not request a make-up quiz because you are ill. You should plan and use these two quizzes for the days you may become sick or have a conflict.
- If you are going to be absent from class for a University-sponsored activity, please let me know in advance for an excused absence from quiz.

Mid-term Exam

- There is one mid-term exam, which is taken in regular class time and is scheduled on Nov 5th(exam time is 1 hour only).
- The form is a combination of multiple-choice questions, true or false, fill-in blank and problem sets.
- **There are no makeup or in-advance mid-term exam.**

The Final Exam

- The final exam is also taken in regular class time and is scheduled on Dec 24th (exam time is 1 hour only).
- The form is a combination of multiple-choice questions, true or false, fill-in blank and problems.
- There are no makeup or in-advance final exams.

Schedule

Sep 17	Syllabus Overview/Course Introduction
Sep 24	Fixed Income Securities I
Oct 1	Fixed Income Securities II [Quiz 1]
Oct 8	Equity Investments I
Oct 15	Equity Investments II [Quiz 2]
Oct 22	Financial Reporting Analysis
Oct 29	Financial Reporting Analysis [Quiz 3]
Nov 5	**Midterm**

Schedule

Nov 12	Corporate Finance I
Nov 19	Corporate Finance II [Quiz 4]
Nov 26	Derivatives I
Dec 3	Derivatives II [Quiz 5]
Dec 10	Portfolio Management I
Dec 17	Portfolio Management II [Quiz 6]
Dec 24	**Final Exam**
Dec 31	Discussion of Final Exam
Jan 7	Supplementary Week via Msteams (Introduction of class contents for next semester)
Jan 14	Supplementary Week via Msteams (Check-up your semester grade!)

Academic integrity

- The instructor has zero tolerance for cheating in all exams.
- During the exams, please don't look over each other.
- In each exam, for problem sets, put your solutions on the exam sheets.

Final grade

- Your overall course grade will be based on your class attendance, quizzes, the mid-term exam, and the final exam.

Quizzes/Assignments	40%
Class Attendance:	20%
Mid-term Exam:	20%
Final Exam:	20%

My approach of teaching
International Financial Professional Certificate _ CFA

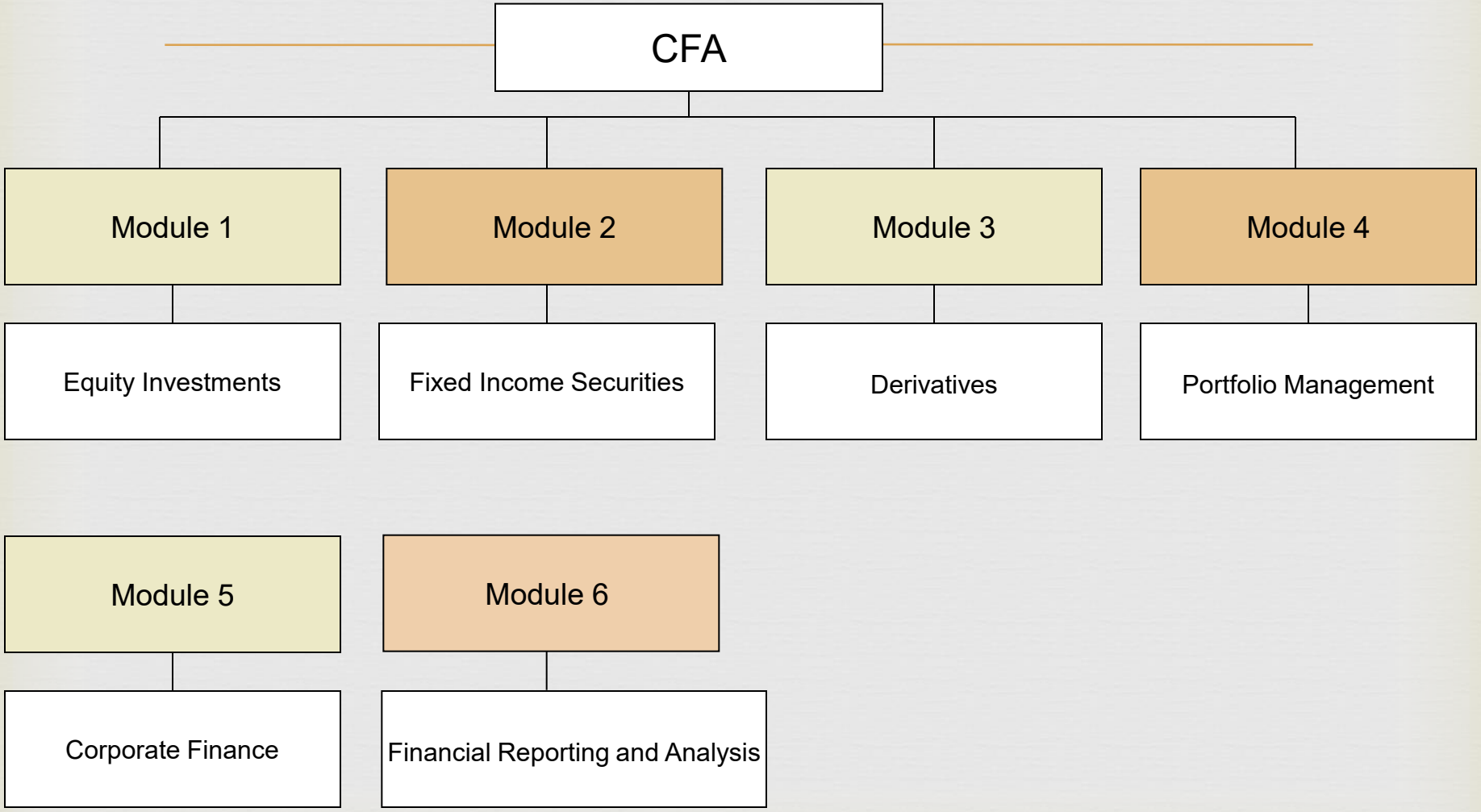
- Focus on several fundamental, important concepts
- Applications and economic, statistics and finance intuitions
- Help understand the contents of CFA exam better

My approach of teaching International Financial Professional Certificate _ FRM



- Focus on several fundamental, important concepts related to "RISK"
- Applications and economic, statistics and finance intuitions
- Review your statistics, Financial Management, Financial markets and Derivatives.
- Help understand the contents of FRM exam better

115-1 course organization



CFA Level 1
Curriculum & Topic Weights

- Where to Invest Your Study Time→
  The 10 Core Topics Ranked by Exam Weight

🏆 **Tier 1: The Heavyweights**

- **1. Ethical and Professional Standards:** 15% - 20% *(Crucial!)*
- **2. Financial Statement Analysis (FSA):** 11% - 14%
- **3. Equity Investments:** 11% - 14%
- **4. Fixed Income:** 11% - 14%

💡💡💡*Strategy: These 4 topics can make up over 60% of your exam. Master them first.*

- **Tier 2: The Core Builders**
- **5. Portfolio Management & Wealth Planning:** 8% - 12%
- **6. Alternative Investments:** 7% - 10% (Beyond the Traditional, i.e. Private Equity, Hedge Funds, Real Estate….)
- **7. Quantitative Methods:** 6% - 9%
- **8. Economics:** 6% - 9%
- **9. Corporate Issuers:** 6% - 9%

⚡ Tier 3: The Lightweights (Time Management is Key)

- **10. Derivatives:** 5% - 8%

💡💡💡*Strategy: Do not spend 2 months on Derivatives. Understand the basics and move on.*

Exam Dates & Windows

- **Headline:** When Can You Take the CFA Exam?
- **Content:**
  - **Level 1 (4 times/year):** February, May, August, November.
  - **Level 2 (3 times/year):** May, August, November.
  - **Level 3 (2 times/year):** February, August.

💡**The "6-Month Rule":** You must wait a minimum of 6 months between testing windows, regardless of passing or failing.

2026 Updated Cost & Registration Fees (USD)

- *(Note: The $350 Enrollment Fee is now ABOLISHED for exams starting Feb 2026!)*
- **Content:**
  - **One-Time Enrollment Fee: $0** (Officially eliminated by CFA Institute for 2026 exams!)
  - **Level I Early Registration:** $1,140
  - **Level I Standard Registration:** $1,490

💡💡💡**Pro Tip:** Always aim for the early registration deadline to save $350!

Exam Format & Timing (Level 1)

- **Total Questions:** 180 Multiple-Choice Questions (MCQs). No penalty for guessing.

- **Duration:** 4.5 hours total (270 minutes).
  - **Session 1:** 135 mins (90 questions).
  - **Optional Break:** 30 mins.
  - **Session 2:** 135 mins (90 questions).

- **Crucial Update (PSM):** You MUST complete a 10-15 hour Practical Skills Module (e.g., Financial Modeling) before results release.

Overview of Level 2 & Level 3

- **Level 2 (Analyze & Evaluate):**
  - **Format:** 88 Questions in "Item Sets" (Case studies followed by 4 questions).
  - **Duration:** 4 hours 24 mins (132 mins per session).

- **Level 3 (Integrate & Apply - New Pathways!):**
  - **Format:** 11 Essay Sets & 11 Item Sets.
  - **Duration:** 4 hours 24 mins.
  - **NEW:** You must now choose a Specialized Pathway (Portfolio Management, Private Wealth, or Private Markets) when registering.

The Reality Check: CFA Level 1 Pass Rates

- **2026 (Year-to-Date): ~42%**
  - *February Window: 45%*
  - *May Window: 39%*
- **2025 (Full Year): ~44%**
  - *(Ranged between 43% - 45% across 4 windows)*
- **2024 (Full Year): ~44%**
- **10-Year Historical Average: ~41%**

💡**The Key Takeaway for You:**

- More than **55% of candidates fail** Level 1 every single time.

Are You Eligible to Take Level 1?

- Start Your Journey Before Graduation
- **The "23-Month Rule":**
  - University students CAN register for and take the Level 1 exam.
  - **Requirement:** Your selected exam window must be **23 months or fewer** before your graduation month.

- **What this means for you:**
  - You are eligible to sit for the exam as early as your **Junior Year (大三)**.
  - You do NOT need work experience to take Level 1 or Level 2.

Eligibility Requirements: Progressing Through the Levels

- 📘 **CFA Level 2 Eligibility**
  - **Prerequisite:** Successfully passed the CFA Level 1 exam.
  - **Student Rule (The "11-Month Rule"):**
    - Your exam window must be **11 months or fewer** before your graduation month.
    - *(Typically eligible starting in your Senior Year / 大四).*
  - **Alternative:** Already hold a completed bachelor's degree (or equivalent).

CFA Level 3 Eligibility

- **Prerequisite:** Successfully passed the CFA Level 2 exam.
- **Degree Requirement (Strict):**
  - You **MUST hold a completed bachelor's degree** (or equivalent) by the time you register.
  - *(Undergraduates are NOT eligible to sit for Level 3 prior to graduation).*
- **Alternative:** Have 4,000 hours of qualified professional work experience.

How to Earn Your CFA Charter

- **Step 1: Pass All 3 Levels of the Exam**
  - Successfully complete Level I, II, and III sequentially.
  - *(Reminder: You must wait at least 6 months between testing windows).*

How to Earn Your CFA Charter

- **Step 2: Accumulate Relevant Work Experience**
  - Complete **4,000 hours** of qualified work experience in a minimum of **36 months**.
  - The role must directly involve or support the investment decision-making process.
  - **Examples of ineligible positions:** Standard bank tellers, or administrative assistants whose duties are unrelated to investment decision-making.
  - *(Great News: Experience can be accrued before, during, or after passing the exams!)*

- **Step 3: Submit Professional References**
  - Provide **2 to 3 reference letters** to validate your work experience.
  - Only 2 references are required if one of them is an active regular member of the CFA Institute.

- **Step 4: Apply for Membership & Sign the Ethics Pledge**
  - Apply to become a Regular Member of the CFA Institute.
  - Commit to and sign the *Code of Ethics and Standards of Professional Conduct* annually.

- CFA Top 5 careers:
- Fund Manager,
- Investment Analyst
- C level (CEO, CFO, COO….)
- Management consultant
- Risk management personnel

- EX. Fund Manager salary scale:
- Base salary: (median) USD126,000
- Total salary: (median) USD177,000

- EX. In Taiwan, Fund Manager:

Base salary (median) USD40,000

Total salary (median) USD64,000

The CFA Examination

The Body of Knowledge

I. Ethical and Professional Standards

A. Professional Standards of Practice

B. Ethical Practices

II. Quantitative Methods

A. Time Value of Money
B. Probability
C. Probability Distributions
D. Sampling and Estimation
E. Hypothesis Testing
F. Correlation Analysis and Regression
G. Time Series Analysis
H. Simulation Analysis
I. Technical Analysis

The CFA Examination

The Body of Knowledge

III. Economics

A.Supply and Demand
B. The Firm and Industry Organization
C. National Income and Growth
D. Business Cycles
E. The Monetary System
F. Inflation
G. Trade and Capital Flows
H. Currency Exchange Rates
I.Monetary and Fiscal Policy
J. Economic Growth and Development
K. Government Regulation
L. Impact of Economic Factors on Investment Markets

The CFA Examination

The Body of Knowledge

IV. Financial Reporting and Analysis

A.Financial Reporting System
B. Principal Financial Statements
C. Financial Reporting Quality
D. Analysis of Inventories
E. Analysis of Long-Lived Assets
F. Analysis of Taxes
G. Analysis of Debt
H. Off-Balance-Sheet Analysis
I.Analysis of Pensions, Stock Compensation, and Other Employee Benefits
J. Analysis of Inter-Corporate Investments
K. Analysis of Business Combinations
L. Analysis of Global Operations
M. Ratio and Financial Analysis

The CFA Examination

The Body of Knowledge

V. Corporate Finance

A. Corporate Governance
B. Dividend Policy
C. Capital Investment Decisions
D. Business and Financial Risk
E. Long-Term Financial Policy
F. Short-Term Financial Policy
G. Mergers and Acquisitions and Corporate Restructuring

VI. Equity Investments

A. Types of Equity
B. Equity Markets
C. Fundamental Analysis
D. Equity Market Valuation
E. Residual Earnings
F. Equity Hybrid Investment Vehicles

The CFA Examination

The Body of Knowledge

VII. Fixed Income

A.Fixed-Income Securities
B. Fixed-Income Markets
C. Fixed-Income Valuation
D. Term Structure and Yield Spreads
E. Analysis of Interest Rate Risk
F. Analysis of Credit Risk
G. Valuing Bonds with Embedded Options
H. Structured Products

VIII. Derivatives

A.Derivative Instruments
B. Forward Markets and Instruments
C. Futures Markets and Instruments
D. Options Markets and Instruments
E. Swaps Markets and Instruments
F. Credit Derivatives Markets

The CFA Examination

The Body of Knowledge

X. Portfolio Management and Wealth Planning

A.Portfolio Concepts
B. Management of Individual Portfolios
C. Management of Institutional Portfolios
D. Pension Plans and Employee Benefit Funds
E. Investment Manager Selection
F. Other Institutional Investors
G. Mutual Funds, Pooled Funds, and ETFs
H. Economic Analysis and Setting Capital Market Expectations
I. Tax Efficiency

The CFA Examination

The Body of Knowledge

J. Asset Allocation (including Currency Overlay)
K. Portfolio Construction and Revision
L. Equity Portfolio Management Strategies
M. Fixed-Income Portfolio Management Strategies
N. Alternative Investments Management Strategies
O. Risk Management
P. Execution of Portfolio Decisions (Trading)
Q. Performance Evaluation
R. Presentation of Performance Results

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